

PROJECT REPORT • LANDED-COST CAPITAL

RaceSims. Chennai

An 8-rig motorsport-grade centre — costed at actual landed prices.

8 RIGS • 7 RACE + 1 MOTION	₹68.5L NET CAPITAL DEPLOYED	₹3.57_{cr} 5-YEAR EBITDA	~2.0_{yrs} PAYBACK
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Executive Summary

10.0%

OPERATING BREAK-EVEN

₹8.6–29.3L

YEAR-1 EBITDA RANGE

₹2.11 cr

5-YEAR PROFIT AFTER TAX

~3.1×

CAPITAL MULTIPLE · 5-YR

RaceSims · Chennai is an 8-rig premium sim-racing centre (7 race/rally + 1 three-DOF motion) opening July 2026 under Racesims Solutions Pvt Ltd. This report costs every station **bottom-up from actual landed prices (incl. tax): ₹44.6L** for the full fleet — sim hardware, gaming PCs and triple 32" screens. The building is brand-new with power and fire systems already in place, so the fit-out is room-only.

Operating costs are covered at just **10% occupancy** — **barely an hour of bookings per rig a day** (11.5%, ~1.2 hr/rig/day, including the 8% cost of capital); a comparable operating dealer already runs at **~20% by month 6**. The five-year base case is deliberately conservative — sim sessions only, with café and academy excluded as pure upside, occupancy ramping 18→35%, full corporate tax, and the cost of capital carried throughout.

1 · Concept & configuration

2 · Floor plan

3 · 3D layout

4 · Equipment BOM

5 · Capital & fit-out

6 · Operating costs

7 · Five-year forecast

8 · Year-1 & payback

9 · Timeline & risks

Concept & Configuration

A professional motorsport-development venue — **not a gaming café** — positioned through **Drive • Train • Compete**. Phase 1 is sim sessions only; the café and academy layer on as the base proves out.

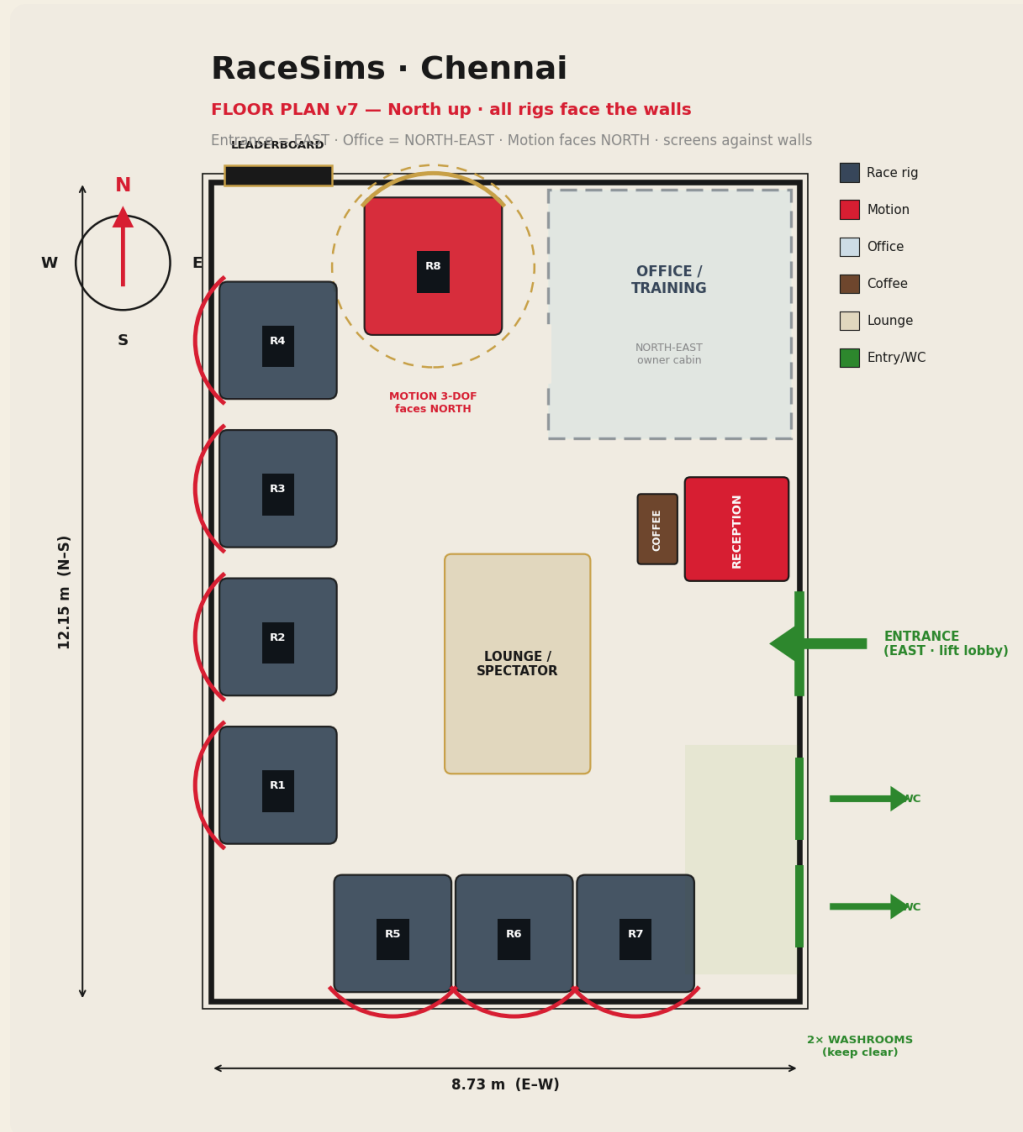
CONFIGURATION

Rigs	7 race + 1 motion (3-DOF)
Staff at launch	2 (3rd from Y2)
Floor area	1,142 sq ft • 8.73×12.15 m
Operating hours	12 / day
Capacity	2,496 rig-hrs / month

PRICING • GST-INCLUSIVE

Race / rally • 30 min	₹750
Race / rally • 1 hr	₹1,250
Motion • 30 min	₹1,000
Motion • 1 hr	₹1,750
Blended net rate	₹1,218 / hr

Floor Plan



NORTH-UP · VASTU-ORIENTED · 1,142 SQ FT

Entrance EAST, off the lift lobby — the right wall.

Office / training in the North-East corner — owner cabin, doubles as the Phase-2 academy room.

Motion rig faces NORTH, the visual hero by the leaderboard wall.

7 static rigs line the west & south walls — triple screens against the wall, drivers facing out with the room open behind them for spectating.

Reception + coffee counter on the east wall by the entrance; central lounge keeps sightlines open; two washrooms kept clear.

3D Layout & Design



INTERACTIVE MODEL · NORTH-UP VIEW

Looking from the south — North is away, East to the right — matching the floor plan.

Exposed black-painted ceiling for an industrial look (no false ceiling), track + warm pendant lighting, brushed-steel reception, gaming carpet and acoustic panels.

The property's large perimeter windows get solar film + blinds. The **3-DOF motion rig is the hero**; the central lounge keeps the room open for spectating.

Equipment — Bill of Materials

FORMULA / GT RIG	× 4
Conspit Ares 12 Nm wheelbase	₹41,500
300GT steering wheel	₹32,750
Quick release (QR)	₹4,500
Apex 2 pedals (no clutch)	₹25,000
Seat	₹20,000
Rig frame	₹22,000
Triple monitor stand	₹15,000
Sim hardware / rig	₹1,60,750

RALLY / GT RIG	× 4
Conspit Ares 12 Nm wheelbase	₹41,500
300GT steering wheel	₹32,750
Quick release (QR)	₹4,500
VNM 3-pedal (w/ clutch)	₹35,500
Sequential / H shifter	₹22,000
Handbrake	₹21,500
Seat	₹20,000
Rig frame	₹22,000
Triple monitor stand	₹15,000
Sim hardware / rig	₹2,14,750

Every station then adds Gaming PC · Ryzen 7 9700X + RTX 5070 Ti ₹2,51,995 · 3 × Samsung Odyssey G5 32" ₹72,000

Formula ₹4,84,745 Rally ₹5,38,745 / rig

BUILD	QTY	PER RIG	SUBTOTAL
Formula / GT rig	×4	₹4,84,745	₹19,38,980
Rally / GT rig (static)	×3	₹5,38,745	₹16,16,235
Rally / GT rig · 3-DOF motion	×1	₹9,08,745	₹9,08,745
Total fleet equipment · landed			₹44,63,960

Motion platform ₹3,70,000 (supplier-quoted) sits on one rally rig, taking it to ₹9,08,745.

4 formula + 4 rally builds; one rally rig carries the 3-DOF motion platform (7 static + 1 motion).

Capital, Fit-out & Cost of Capital

CAPITAL • LANDED BASIS	AMOUNT
8 rigs (landed • incl. tax • from BOM)	₹44,63,960
Security deposit (6 mo • refundable)	₹9,31,500
Fit-out (room-only • itemised right)	₹14,20,000
Working capital (2 months)	₹6,11,000
Contingency (5% of equip + fit-out)	₹2,94,198
Gross investment	₹77,20,658
less GST input credit	(₹8,74,915)
Net cash deployed	₹68,45,743
of which deposit (refundable)	(₹9,31,500)
Capital truly at risk	₹59,14,243

Cost of capital • 8% p.a. blended (part loan / part own) = ₹5.48L / yr.
 Equipment is costed from **actual landed prices**; the same fleet at retail runs ₹70–85L — a resaleable asset that de-risks the financing.

FIT-OUT • ROOM-ONLY

₹14,20,000

Air conditioning — 8 T • 4×2 T 5-star	₹2,60,000	Ceiling + wall paint	₹75,000
Electrical + UPS (PC) + sub-DB	₹2,25,000	Leaderboard TV — 65" QLED	₹55,000
Lighting — magnetic track + accent	₹1,90,000	Networking — switch + router + WiFi 6	₹55,000
Branding — exterior lit fascia	₹1,10,000	Reception counter	₹52,000
Flooring — commercial carpet tiles	₹1,00,000	Glass partition — black-framed	₹50,000
Furniture — ledge + premium chairs	₹1,00,000	CCTV — 4 cam + NVR	₹36,000
Solar film + blinds	₹80,000	Access — biometric attendance	₹12,000
		Tablet billing + misc	₹20,000

Brand-new building — power & fire already in place; in-room scope only. AC is 4×2 T high-wall splits (no false ceiling, exposed look). Acoustic panels & ambient audio are deferred to Phase 2.

Operating Costs & Break-even

MONTHLY COST · YEAR 1

₹

Rent	₹1,55,250
Electricity	₹45,000
Staff (2)	₹50,000
Rig upkeep + reserve	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total monthly (Y1)	₹3,05,500

Pricing GST-inclusive; blended ₹1,218/hr net. Capacity 2,496 rig-hrs/mo.
Cost grows ~6%/yr; 3rd staffer from Y2.

Break-even — in rig-hours you can picture

~1 hr

PER RIG / DAY

~8

RIG-HRS / DAY · ALL 8

~250

RIG-HRS / MO OF 2,496

Each rig only needs to be booked **just over an hour a day** — out of ~10 hours open — to cover **every** operating cost. Including the 8% cost of capital, ~1.2 hr/rig/day. The rest of the day is margin.

OCCUPANCY NEEDED TO COVER COSTS

Operating break-even

10.0%

Incl. 8% cost of capital

11.5%

Year-1 plan · at open

18%

Dealer benchmark · month 6

~20%

0%

scale: 0-25% of 2,496 rig-hrs / mo

10.0%

OPERATING BREAK-EVEN

11.5%

INCL. 8% COST OF CAPITAL

The plan opens at 18% and a real network dealer already clears ~20% by month six — so the centre breaks even with a **wide cushion below proven demand**.

Five-Year Financial Forecast

₹ LAKH	Y1 • JUL-26	Y2	Y3	Y4	Y5
Occupancy	18%	25%	30%	33%	35%
Net revenue	65.7	95.8	120.7	139.4	155.2
Operating cost	36.7	41.9	44.4	47.0	49.9
EBITDA	29.0	53.9	76.3	92.4	105.3
EBITDA margin	44%	56%	63%	66%	68%
less Depreciation	15.2	11.4	8.5	6.4	4.8
less Cost of capital	5.6	5.6	5.6	5.6	5.6
Profit before tax	8.2	36.9	62.2	80.4	94.9
less Tax (25.17%)	2.1	9.3	15.7	20.2	23.9
Profit after tax	6.1	27.6	46.5	60.2	71.0

₹3.57 cr

CUMULATIVE EBITDA

₹2.11 cr

CUMULATIVE PAT

~3.1×

CAPITAL MULTIPLE ON ₹68.5L

Upside

CAFÉ & ACADEMY EXCLUDED

Year-1 Detail, Payback & Timeline

YEAR-1 P&L · ₹L	GOOD	SLOW
Net revenue	66.0	45.3
Operating cost	(36.7)	(36.7)
EBITDA	29.3	8.6
Depreciation	(15.2)	(15.2)
Cost of capital	(5.6)	(5.6)
Profit before tax	8.5	(12.2)
Tax @ 25.17%	(2.1)	–
Profit after tax	6.4	c/f

Full-year depreciation (July start >180 days in FY27). **80-IAC exemption**, if claimed, zeroes Y1–Y2 tax (~₹12L). Y3 carries a ~₹12L PC/GPU refresh from the maintenance reserve.

EXECUTION TIMELINE · DECISION TO OPEN IN ~16 WEEKS

- 0

Mar 2026

Validate
Call Uday · CA brief (SAC / 80-IAC) · venue lock · rig pro-forma · go / no-go
- 1

Apr 2026

Lease & legal
Registered lease · S&E + trade licence · order rigs (8-wk lead) · VMS kickoff · hire lead
- 2

May–Jun 26

Fit-out & build
AC + electrical · flooring / ceiling / branding · networking · rigs cleared & installed
- 3

late Jun 26

Commission
Systems test · staff training · 30-guest soft launch
- 4

Jul 2026

Launch & ramp
Public open · ARKA media · Hot Lap #1 · month-4 checkpoint

Risks & Key Assumptions

Demand below ~20% dealer benchmark

Break-even 10–11.7% leaves a wide cushion; pre-sell **corporate & experiences**.

Premium-price resistance

Protect the headline rate; deliver value via **memberships, Hot Lap, off-peak**.

Equipment failure (motion rig)

Maintenance reserve + in-house servicing; **rigs resaleable at retail**.

Slow first 4–5 months

Hold a **~₹17L runway buffer** separate from capital.

Assumptions. Landed-cost basis — equipment costed from actual component prices (incl. tax); motion platform ₹3.7L (supplier-quoted). Pricing GST-inclusive (master rate card); revenue net of 18% GST. Occupancy 18→35% base case. Blended rate +5%/yr; operating cost +6%/yr (3rd staffer Y2). Cost of capital 8% p.a. on ₹68.5L. Full corporate tax (25.17%); no startup exemption banked. Depreciation blended WDV on the ₹58.8L equipment + fit-out base. Brand-new building (power + fire in place) — fit-out is room-only; AC high-wall splits (no false ceiling). Café & academy revenue excluded (upside). Management estimates for planning.

An asset base costed to the rupee, break-even far below proven demand, and a five-year line that **compounds to ~3.1× capital.
This is built to profit.**